

Opportunities

Can MSMEs Contribute And Profit From The SEMICON BOOM?

Semiconductor manufacturing often requires significant investment, typically feasible only for governments or large corporations. But are there opportunities for MSMEs as well? We spoke with Sanjay Gupta of L&T Semiconductor Technologies, and intriguingly, many opportunities do exist! Read on...

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There is significant discussion about India's role in the semiconductor sector. Despite previous setbacks and companies withdrawing commitments, is India on the right track now?

Absolutely, I am optimistic about India's semiconductor industry trajectory this time. To demystify the semiconductor landscape in India, we can consider four key pillars: IC design, wafer fabrication, chip packaging, and electronics system design. India excels in IC design, with a strong presence of global MNCs in fabless semiconductors, developing substantial intellectual property without owning fabrication facilities.

While India has faced challenges establishing wafer fabrication facilities, recent developments indicate a turning point. The commitment from the government and private sector, including significant initiatives by Tata and other companies, is stronger than ever. India has also cultivated a significant portion of the global semiconductor R&D workforce, underscoring the country's deep expertise.

The strategic importance of establishing a robust semiconductor manufacturing ecosystem in India cannot be overstated, especially considering geopolitical tensions and the global dependency on regions like Taiwan. Recent government-backed initiatives and private investments are promising signs that India is poised to overcome past hurdles. The construction of wafer fabs and packaging facilities is underway, signalling a shift from planning to actual execution. This progress, supported by the government and industry leaders, suggests India is on the right path to realising its semiconductor ambitions.

Many MSME representatives believe the semiconductor industry is too capital-intensive for their involvement. What are your thoughts? Where can MSMEs contribute across the semiconductor process?

You are right in noting the capital-intensive nature of the semiconductor industry, but there are numerous opportunities for MSMEs within its

